

Startup Wisdom

Why startups fail?

Intro

99% of all founded startups go out of business.

The reasons are different. Let's explore some of them and see how they can be fixed.

Premature Optimizations

Engineers like to work on challenging problems.

They can spend days and months optimizing your product to hold the load of 1 billion customers even if you only have 10 at the moment.

Premature optimizations steal your time and the focus off of your product.

Overcomplications

Keep things simple and functional. Do not overcomplicate.

80% of your product will satisfy 95% of the customers. Adding complexity to satisfy the needs of 1 or 2 users, doesn't make any sense and will only drag you down long-term.

Kill Features

Measure the usage of your product features and kill the ones that are not or barely used.

More complexity means more maintenance means more money spent on non valuable items.

Better spend them on marketing, sales, growth etc.

New Frameworks

Developers like to try out new stuff and can fall prey to “amazing new framework/programming language” narrative.

Settle on one stack and move on until you can launch something valuable. Nothing is set in stone, you can always change stuff at later stages.

Launching Too Late

Launching too late is like optimizing for a customer who never saw your product.

Yes, the saying goes - “scratch your own itch” - build the product that you need but nobody can truly imagine how the product you’ve been building in your basement for the past year will be used once it’s launched.

Build something, launch, get the feedback, reiterate.

Launching Multiple Times

Contrary to a popular belief, you shouldn't be afraid of making the bad first impression.

You can launch as many times as you like. Even if you failed 10 times in a row and launched successfully on 11th - nobody will care.

If you don't trust me here is the quote from Brian Chesky (AirBnb): **“If you launch and no one notices, launch again. We launched 3 times.”**

Marketing

“Build it and they will come” - they said.

They lied!

Build it, shout about it, do marketing for it and only then they may come and take a look at your product.

Until then make it attractive and valuable.

Fire Fast

Fire toxic people as fast as possible.

You will make hiring mistakes. Don't judge yourself - correct them.

Having toxic people on board will harm your company.

Startup Wisdom

<https://kostyuchenok.com>

igor@kostyuchenok.com